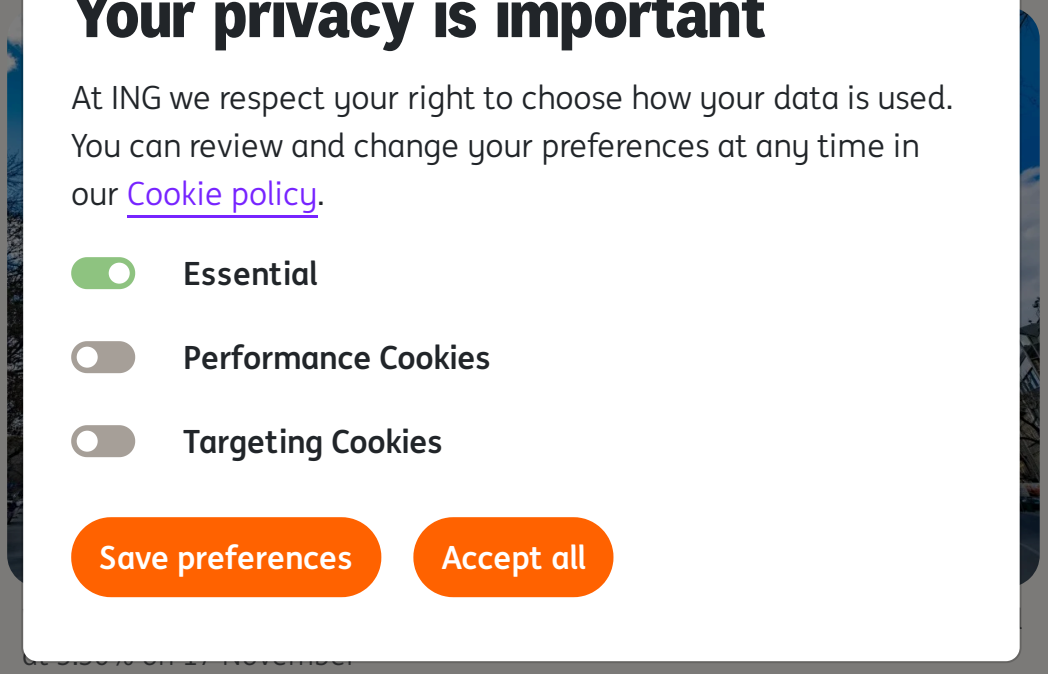
Hungary's inflation outlook remains favourable, the economy is nowhere near overheating, and the forint remains relatively stable. Local factors create room for the NBH to lower rates, but we still don't expect any moves in the coming quarters because external risks remain elevated



Peter Virovacz, Frantisek Taborsky and Zoltán Homolya



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Our call

The National Bank of Hungary (NBH) picked the cautious option last month by keeping the base rate unchanged. We haven't seen enough change since the October rate-setting meeting to think that this time will be different. Central bank representatives have repeatedly pointed to external risks rather than inflation itself. In other words, the room to cut is there, but the limiting factors are blocking any dovish moves.

The pace of repricing remains moderate, while the 2027 draft budget and the medium-term fiscal consolidation plan were

broadly in line with market expectations. Looking at the details, the convergence plan so far appears credible, supported by the fact that the government has planned the necessary steps to be largely front-loaded. The domestic backdrop therefore looks favourable both now and in the near term. We expect this to be reflected in Hungary's sovereign credit rating in the coming months. There is considerable room for Hungary's rating to improve, even relative to regional peers. A potential improvement in the rating outlook could provide another positive catalyst for Hungarian assets.

Although the second-round effects of higher energy prices have not yet appeared in the October inflation print, we still think they could constrain any dovish ambitions among policymakers. There have b
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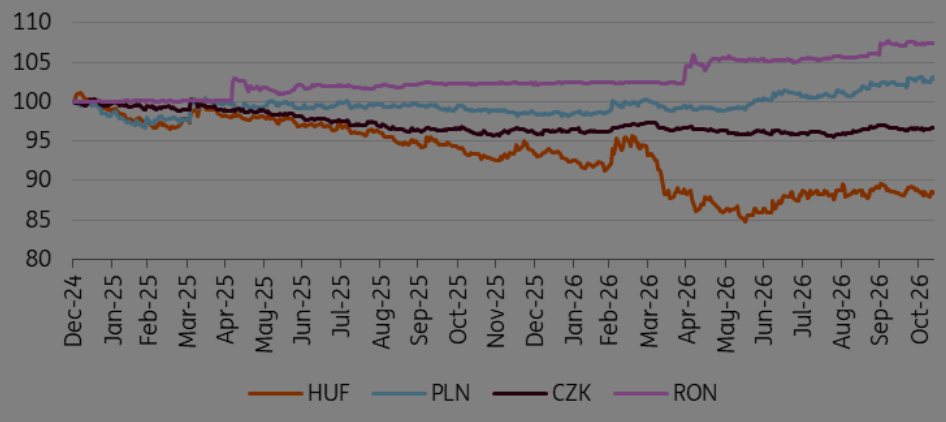
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Source: NBH, ING

Against a backdrop of elevated global uncertainty and despite the prospect of lower local risk premiums, we expect the National Bank of Hungary to play it safe and keep rates on hold at 5.50% on 17 November. It is worth mentioning that we expect the major central banks, including the Federal Reserve and the European Central Bank, to continue hiking rates through year-end, so even with the NBH on hold, Hungary's rate differential would still narrow.

Looking ahead, we don't expect any change in rates in the coming quarters. Our assumption is that external developments will keep the door shut on rate-cut expectations, leaving the base rate at 5.50% by end-2026. With structural market support expected from credible fiscal plans and inflation hovering around 3.2-3.9% year-o

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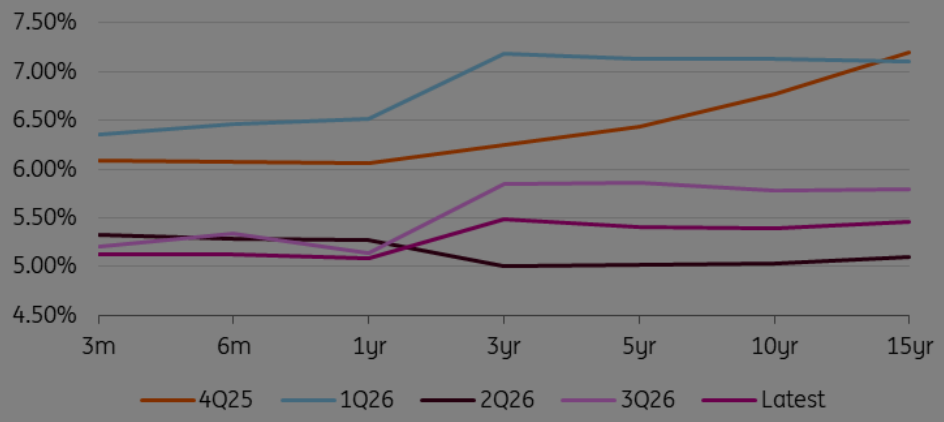
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heightened global volatility. With the easing of global tensions, the market has resumed pricing in NBH rate cuts, anticipating one to two cuts over a two-year horizon, depending on assumptions regarding the BUBOR premium. This aligns closely with our own forecast.

Hungarian yield curve



Source: GDMA, ING

Furthermore, should the NBH adopt a cautious stance amid current g[illegible]t a[illegible] t[illegible] b[illegible] y[illegible] e[illegible] li[illegible]

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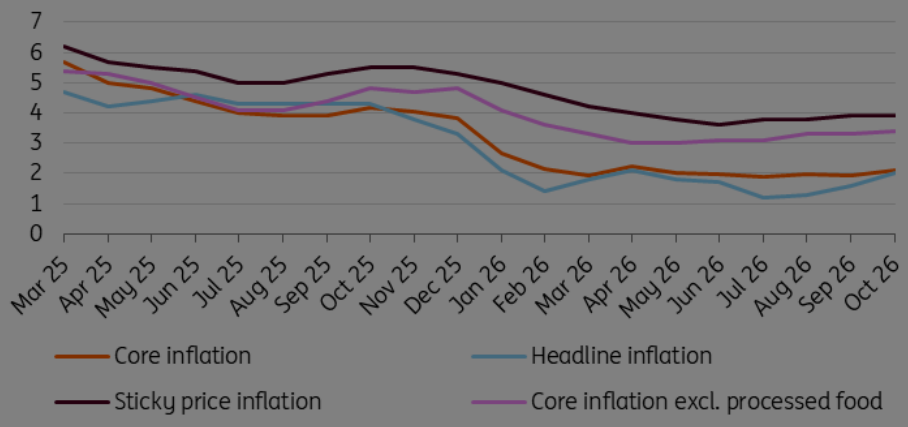
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S[illegible]

I[illegible] p[illegible] s r[illegible] c[illegible] growth to remain within the central bank's new inflation target range for the rest of the year and throughout the first half of 2027.

Headline and underlying inflation measures (% YoY)



Source: HCSO, NBH, ING

The forint has proved more resilient to recent global sell-offs than in p
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significant proportion of Hungary's euro-denominated government debt will need to be refinanced.

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NBH Preview | NBH | National Bank of Hungary | Inflation | Hungary | CPI

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